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Secure Distribution Venture Pvt. Ltd.

WHAT IS ANCHOR-BASED VENDOR FUNDING?

A Comprehensive Textbook & Reference Manual on Upstream Supply Chain Finance in India

Developed by www.loanbazaaronline.com

Title	Page NO
Chapter 1: Product Overview & Core Philosophy	Page 3
Chapter 2: Structural Modalities & Program Taxonomy	Page 4
Chapter 3: The Transaction Lifecycle & ERP/API Workflows	Page 6
Chapter 4: Credit Underwriting Standards & Eligibility Criteria	Page 8
Chapter 5: Legal Framework, Security & Documentation Requirements	Page 9
Chapter 6: The TReDS Platform & Alternate Digital Ecosystems	Page 10
Chapter 7: Commercial Mechanics, Pricing Models & Unit Economics	Page 11
Chapter 8: Regulatory Compliance, Digital Lending & Risk Management	Page 12
Chapter 9: Real-World Case Study (No-Cost vs. Interest-Bearing Structures)	Page 14
Chapter 10: Practice Examination & Test Questions	Page 16

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Chapter 1: Product Overview & Core Philosophy

Anchor-Based Vendor Funding (ABVF), also known as Anchor-Led Supply Chain Financing, represents a highly specialized, revolving, and transaction-backed working capital facility designed to fund upstream supply chain participants. In the Indian industrial ecosystem, raw materials and component parts typically flow from thousands of small, medium, and micro enterprises (MSMEs)—known as Vendors or Suppliers—to massive, highly creditworthy corporate manufacturers, known as Corporate Anchors. Under traditional credit paradigms, these MSME suppliers are routinely starved of cash, facing credit terms that stretch payment timelines to 30, 60, or 90 days. ABVF bridges this critical liquidity gap. It is a revolving credit program structured by commercial banks or Non-Banking Financial Companies (NBFCs) where credit limits are approved for the suppliers based strictly on the credit strength and historical payment reliability of the Corporate Anchor. By paying the suppliers immediately upon the approval and confirmation of invoices by the Anchor, the financier unlocks working capital, allowing suppliers to maintain manufacturing velocity while the corporate Anchor enjoys its standard commercial payment timelines.

The core philosophy that powers ABVF is credit arbitrage. A typical MSME supplier in India has a weak or localized credit profile and is often classified as New-to-Credit (NTC) or thin-file. If they seek a traditional bank loan, they face high interest rates ranging from 12% to 18% p.a., combined with heavy real estate collateral requirements. In contrast, the Corporate Anchor is typically an investment-grade company (rated AAA, AA, or A by recognized credit rating agencies) with access to highly competitive institutional capital at 7.5% to 9.5% p.a. Under an Anchor-Based Vendor Funding program, the lender shifts the credit evaluation from the weak supplier's balance sheet to the Anchor's strong balance sheet. The lender approves a wholesale financing limit on the Anchor, which is then sub-allocated as transaction-based limits to the Anchor's registered suppliers. This credit leverage allows suppliers to secure immediate, unsecured funding at interest rates anchored to the corporate buyer's prime rating. This structurally reduces overall supply chain credit costs and eliminates double-financing risks across the trade ledger.

Historically, commercial trade in India was dominated by rigid, paper-based bill discounting structures and physical post-dated cheques (PDCs). In the late 20th century, trade credit relied on 'Hundis'—traditional, non-standardized bills of exchange. To modernize this fragmented and high-risk system, the Reserve Bank of India introduced the Bill Market Scheme of 1952 and the subsequent Credit Authorization Scheme of 1965, attempting to channel formal banking sector funds directly into trade-backed bills of exchange. In 1988, the Shri C.S. Kalyan Sundaram Committee recommended the development of structured factoring and supply chain programs, identifying that paper-based collections were a major bottleneck restricting industrial sales velocity and impeding small-enterprise growth. The subsequent implementation of the Factoring Regulation Act of 2011 laid the legal foundation for modern supply chain financing, which has now transitioned into a fully digital, API-driven transactional ecosystem.

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Chapter 2: Structural Modalities & Program Taxonomy

A common point of confusion for finance rookies is the distinction between Dealer Finance, Distributor Finance, Vendor Finance, and Reverse Factoring. While all are supply chain finance products, they operate at different ends of the value chain and incorporate unique structural guardrails. The following comparison table maps these products across critical credit and operational parameters to establish a clear taxonomy.

Parameter	Anchor-Based Vendor Funding	Traditional Factoring	Dealer/Distributor Finance
Direction in Chain	Upstream (Sourcing / Procurement)	Revolving (General Receivables)	Downstream (Distribution / Sales)
Credit Rating Focus	Leverages AA/AAA Anchor Credit Rating	Evaluates individual supplier/seller credit	Evaluates dealer/distributor stock turnover
Initiator of Program	Corporate Anchor (Buyer-Led Program)	Supplier (Seller-Led Program)	Corporate Anchor (Seller-Led Program)
Recourse Structure	Typically Non-Recourse to Supplier	Typically Recourse (Sellers bear default risk)	Typically Recourse (Dealer bears default risk)
Average Ticket Size	₹10 Lakhs to ₹50 Lakhs per transaction	₹1 Lakh to ₹10 Lakhs per invoice	₹50 Lakhs to ₹5 Crores per credit line
Security Structure	Unsecured, backed by assignment of receivables	Backed by invoice assignment & reserve margins	Secured by security deposits, stock, escrow
Primary Risk	Anchor insolvency or commercial set-off claims	Supplier fraud or poor buyer collection velocity	Dealer stock accumulation and locked liquidity

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To understand how upstream ABVF operates in parallel with downstream channel finance, we examine the 'Co-Existence Framework'. A large auto manufacturer (Anchor) needs to buy raw steel from its vendors. Under ABVF, the bank discounts the steel supplier's invoice, releasing immediate cash to the supplier. This is an upstream program. Once the Anchor manufactures the automobile, it sells it downstream to regional car distributors. Under Channel Finance, the bank extends a revolving credit line to the distributors to 'lift' the cars. This downstream program creates a closed-loop supply chain ecosystem. The lender gains absolute visibility into the Anchor's entire trading ledger, dramatically reducing operational fraud risk and enabling transaction-driven cash-flow monitoring.

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Chapter 3: The Transaction Lifecycle & ERP/API Workflows

The modern transaction lifecycle of Anchor-Based Vendor Funding relies on API-driven electronic interfaces linking the Corporate Anchor's Enterprise Resource Planning (ERP) system (such as SAP or Oracle) with the lender's Digital Supply Chain Financing (DSCF) platform. This integration eliminates paper processing, physical cheque clearing, and manual credit assessments. The step-by-step transaction loop is structured as follows:

Stage	Participant Action	System & API Activity
1. Invoice Upload	The supplier uploads the tax invoice, e-way bill, and transport proof on the digital portal.	Lender's system cross-references the invoice with GSTN portals to verify tax authenticity and check for potential duplication.
2. Confirmation	Corporate Anchor logs into ERP and electronically confirms/accepts the invoice.	An ERP-triggered webhook transmits a secure API payload to the lender, validating goods acceptance and confirming payment obligation.
3. Bidding / Rate check	Financiers evaluate the approved Anchor-limit and submit discount rates.	On multi-financier platforms, bidding occurs in real-time, matching the lowest bid with the supplier's pre-set commercial thresholds.
4. Early Disbursal	Supplier accepts terms and receives the discounted invoice amount on Day 1.	Lender's core banking system executes an RTGS transfer directly to the supplier's bank account, minus interest/margin haircuts.

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5. Maturity Settlement	Anchor pays the full invoice amount to the lender's escrow account on Day 90.	The lender automatically sweeps the escrow account to recover the advanced principal, releasing the margin back to the supplier.

Within this transaction flow, lenders often incorporate a 'No-Interest Subvented Period' or 'Interest Holiday'. Under standard interest-bearing models, the supplier bears 100% of the interest cost for the early payment. However, to incentivize supplier loyalty and maintain a healthy supply chain, the Corporate Anchor may agree to pay the lender's interest yield for the first 15 to 30 days of the invoice tenure. If the supplier requests disbursal during this interest holiday, they receive the full invoice value with zero interest charges. If the invoice remains unpaid past the subvented window, interest begins accruing strictly on a reducing balance basis, charged to either the supplier or the corporate Anchor based on the pre-negotiated program agreement.

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Chapter 4: Credit Underwriting Standards & Eligibility Criteria

To enable instant loan approvals at checkout without adding operational friction, underwriting models in ABVF have transitioned from manual, asset-heavy credit risk assessments to transaction-backed algorithmic underwriting engines. Traditional commercial lending is asset-heavy, requiring the supplier to present audited balance sheets, debt-service coverage ratios (DSCR), and real estate collateral. Under ABVF, credit underwriting is split into two phases: underwriting the Anchor and underwriting the Supplier.

The Anchor Underwriting Model:

The financier conducts a deep-dive corporate evaluation of the Anchor. The Anchor must have an active investment-grade rating (AAA, AA, or A) from an RBI-approved Credit Rating Agency (such as CARE Ratings, CRISIL, or ICRA). Lenders look for a minimum credit history vintage of 5 to 10 years, a net worth exceeding ₹100 Crores, and a low Days Payable Outstanding (DPO) deviation. Once verified, the lender approves a master credit limit on the Anchor (e.g., ₹50 Crores) that functions as a revolving limit for vendor disbursements.

The Supplier Underwriting Standards:

Individual suppliers do not need a strong balance sheet, but they must satisfy strict digital operational standards. Common supplier eligibility criteria include: a minimum corporate relationship vintage with the Anchor of 12 to 24 months, verified through historical transaction statements; clean personal credit scores for promoters (CIBIL > 700) and a healthy commercial credit score (CIBIL MSME Rank or CMR rating between 1 and 4); active GST registration with consistent GST return filing history (GSTR-1 and GSTR-3B) for the prior 24 months; and zero outstanding statutory defaults or active legal disputes.

Axis Bank Empirical Performance Benchmarks:

According to empirical studies on supply chain finance practices in India (such as the Axis Bank supply chain finance program evaluations), structured anchor-led digital underwriting models deliver exceptional operational performance. Key benchmarks include:

- Turnaround Time (TAT): Early payment release TAT was slashed from a standard 15 days to just 24 to 48 hours.
- Portfolio Program Utilization: Average program utilization rate stands at approximately 65%, driven by active anchor-pull supplier onboarding.
- Interest Cost Reduction: Suppliers experience an average financing cost reduction of 1.8% to 2.5% compared to localized bank overdraft lines.
- System Accuracy and Low Delinquency: Digital invoice matching systems maintain a 96% accuracy rate, while portfolio credit losses (PAR 90) remain below 0.5% due to strict, real-time automated filters and immediate stop-supply covenants.

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Chapter 5: Legal Framework, Security & Documentation Requirements

While ABVF is structured as a transaction-backed, collateral-free credit product, it is anchored on a rigorous, watertight legal framework to eliminate systemic trade fraud and credit delinquency. In India, the primary legal validation for invoice assignment and debt collection flows from the Negotiable Instruments Act, 1881, and the Factoring Regulation Act, 2011 (including the 2021 Amendments).

Essential Documentation Requirements:

1. Master Vendor Finance Agreement: Executed between the financier and the supplier, outlining the terms of invoice discounting, the revolving limit (e.g., ₹2 Crores), the interest rate, and the upfront processing fee.
2. Tripartite Agreement: Executed between the Anchor, the Supplier, and the Financier. This is the ultimate credit shield. Under this agreement, the Corporate Anchor contractually waives all rights to product set-offs or quality-based payment deductions once an invoice is approved. The Anchor agrees to disburse the invoice value directly to the lender's designated escrow account on maturity.
3. Legal Assignment of Actionable Claims (Section 130): Under Section 130 of the Transfer of Property Act, 1882, the supplier executes a formal assignment of its trade receivables (the invoices) to the financier. This grants the financier the absolute legal right to collect, sue, and recover the outstanding debt directly from the Anchor in its own name.
4. CERSAI Registry Filings: To prevent fraudulent 'dual-financing' (where a supplier discounts the same invoice with multiple lenders), Section 19 of the Factoring Regulation Act, 2011 mandates that all assignments of receivables must be registered on the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) portal. Lenders must register the charge on receivables within a strict statutory window of 10 days from the date of invoice assignment.

Tata Capital Master Terms & Conditions (Applicable for Invoice Discounting):

According to institutional master agreements utilized by leading NBFCs like Tata Capital, the assignment of receivables is governed by strict operational Conditions Precedent (CPs) and covenants. Key elements include:

- Conditions Precedent (CPs): The supplier must present a clearance certificate under Section 281(1)(ii) of the Income Tax Act, confirming that no outstanding income tax dues or asset liens exist that could jeopardize the lender's charge on receivables.
- Hypothecation of Book Debts: The supplier creates a primary, exclusive charge on all current and future book debts, receivables, outstanding bills, contracts, and insurance claims generated from sales to the Anchor corporate.
- Escrow Account Sweep: All payments from the Anchor must flow into a designated Escrow/Collection Account. The financier possesses sole power of attorney (PoA) to sweep funds directly from the escrow to amortize the loan, with any surplus credited back to the supplier.

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Chapter 6: The TReDS Platform & Alternate Digital Ecosystems

A pivotal innovation in the Indian supply chain finance market is the establishment of the Trade Receivables Discounting System (TReDS). TReDS is an institutional, multi-financier digital auction platform set up under the Payment and Settlement Systems Act, 2007, and regulated directly by the Reserve Bank of India (RBI). The platform enables MSME suppliers to upload approved invoices, which are then bid on by a network of commercial banks, NBFCs, and foreign factors. The platform operates on a completely digital, secure, and paperless framework, slashing supplier borrowing costs through a highly competitive bidding mechanism.

The Ministry of MSME ₹500 Crore Mandate:

To address systemic MSME liquidity constraints at a national scale, the Ministry of MSME implemented a landmark regulatory mandate in 2018. Under this mandate, all Central Public Sector Enterprises (CPSEs) and all corporate entities registered under the Companies Act with an annual turnover exceeding ₹500 crore are legally required to onboard and register themselves on at least one TReDS platform. This mandate structurally expanded the corporate buyer (Anchor) base, providing thousands of MSMEs with frictionless access to cheap, anchor-backed working capital financing.

TReDS Platforms Compared:

Currently, three dominant RBI-approved TReDS platform operators manage the bulk of India's supply chain auction volume:
1. RXIL (Receivables Exchange of India Limited): A joint venture backed by the Small Industries Development Bank of India (SIDBI) and the National Stock Exchange (NSE). RXIL is widely recognized for its robust institutional network and deep public-sector integration.
2. M1xchange: Operated by Mynd Solutions, M1xchange is a prominent player noted for its advanced machine learning integration and automated, API-driven vendor onboarding procedures.
3. Invoicemart: A joint venture between Axis Bank and Junction Services, Invoicemart excels in corporate-anchor integrations and revolving downstream buyer programs.

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Chapter 7: Commercial Mechanics, Pricing Models & Unit Economics

To evaluate the structural profitability of an Anchor-Based Vendor Funding program, fintech professionals and corporate treasurers must analyze its core commercial mechanics, pricing components, and lender-side unit economics. ABVF is commercialized through distinct revolving structures, typically mapped against purchase orders and confirmed invoice tenures of 15 to 90 days (extending up to 120 or 180 days for heavy capital goods and infrastructure-adjacent industries).

Key Pricing Components:

• Financing Interest Rate (7.5% - 10.5% p.a.): Floating interest rate linked to the lender's Cost of Funds and the External Benchmark Lending Rate (EBLR). Because it leverages the AAA/AA corporate Anchor's credit profile, the interest rate is significantly lower than traditional MSME borrowing rates.
• Processing Fee (0.1% - 0.5% of limit value): An annual service charge applied on the sanctioned limit, subject to GST at 18% in India.
• Overdue Penal Interest (18% - 24% p.a.): Charged on outstanding balances exceeding the designated usance tenure (past Day 90), functioning as a strong credit deterrent for late-paying buyers.

Lender-Side Unit Economics:

For commercial banks and NBFCs, ABVF is a highly lucrative, short-term asset class characterized by high capital velocity and minimal delinquency. On a ₹10 Crore master vendor limit, the financier earns interest (e.g., 8.5% reducing p.a.) on active disbursements, combined with upfront processing fees. Because invoices are self-liquidating (payment flows directly from the corporate Anchor), credit loss (PAR 90) is routinely maintained below 0.1%. This ensures high asset turnaround, strong Return on Equity (ROE), and efficient capital adequacy utilization under Basel III frameworks.

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Chapter 8: Regulatory Compliance, Digital Lending & Risk Management

Because Anchor-Based Vendor Funding involves significant volumes of digital transactions and public funds, it is tightly regulated by the Reserve Bank of India (RBI) and the Ministry of Corporate Affairs (MCA). Lenders must maintain strict compliance with regulatory directions across credit risk management, digital privacy, and accounting standards.

1. RBI Master Directions on Credit Risk Management, 2025:

Under the RBI's updated Directions, banks and NBFCs must maintain board-approved credit risk policies. Automated or algorithmic underwriting models cannot operate as complete black boxes; lenders are required to maintain audit-trailed validation of all risk metrics. No automated digital platform is permitted to automatically increase a borrower's credit limit without an explicit request, evaluation, and digitally signed agreement on record.

2. RBI Digital Lending Directions (DLA and LSP Guidelines):

As vendor financing transitions to mobile interfaces and Digital Lending Apps (DLAs), the RBI enforces strict technology standards:

• Data Privacy & Phone Access: DLAs operated by lenders or partner Lending Service Providers (LSPs) are explicitly prohibited from accessing sensitive mobile phone resources. They are barred from scanning the customer's contact list, accessing file/media directories, reading call logs, or tracking real-time telephony functions.

• Onboarding Consent: One-time access is permitted only for the camera, microphone, and location solely for onboarding and KYC requirements, subject to explicit, audit-trailed customer consent.

• Server Residency: All personal and financial data must be stored on servers located entirely within India. If processed outside for analytical purposes, the data must be completely wiped from foreign servers and brought back to Indian servers within 24 hours.

• Default Loss Guarantee (DLG) Cap at 5%: DLG is a contractual risk-sharing arrangement where an LSP compensates the lender for default losses. Under the RBI Digital Lending Directions, DLG is strictly capped at 5% of the outstanding DLG portfolio to prevent unregulated fintechs from acting as synthetic banks without capital backup.

• Fair Recovery Guidelines: Debt collection agents must adhere to the RBI Fair Practice Code. They are strictly prohibited from contacting or visiting borrowers outside the designated hours of 8:00 AM to 7:00 PM.

3. Accounting Standards and Disclosure Requirements (Ind AS 109 & Ind AS 7):

Under the Indian Accounting Standards (Ind AS), reverse factoring and supplier financing must be transparently reported. Under Ind AS 109, if the transaction changes the commercial substance of the corporate Anchor's trade payables (e.g., if the lender extends the payables window past 90 days or charges interest directly to the Anchor), the debt must be reclassified from 'Trade Payables' to 'Bank

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Borrowings' on the Anchor's balance sheet. Furthermore, effective April 1, 2024, amendments to Ind AS 7 (Statement of Cash Flows) and Ind AS 107 (Financial Instruments) mandate explicit corporate disclosures on supplier financing arrangements, including the carrying amount of financial liabilities, the range of payment due dates, and liquidity risk management impacts.

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Chapter 9: Real-World Case Study (No-Cost vs. Interest-Bearing Structures)

To bridge the gap between financial theory and real-world commercial operations, we analyze a detailed case study of a supplier discounting a usance invoice raised on a AAA corporate Anchor in India, comparing a standard interest-bearing route with a No-Cost (Subvented) interest holiday.

The Commercial Scenario:

Vibrant Manufacturing Pvt. Ltd. (based in Pune) is a registered MSME supplier of precision automotive components. They raise a tax invoice of ₹50,00,000 (inclusive of GST) on their AAA-rated corporate buyer, Apex Motors India Ltd., on the RXIL TReDS platform. The commercial terms demand a 90-day payment tenure. To unlock immediate working capital, Vibrant Manufacturing seeks early payment from a participating commercial bank under an approved Anchor-Based Vendor Funding line.

Underlying Commercial Parameters:

• Consignment Value: ₹50,00,000
• Required Supplier Margin (10%): ₹5,00,000 (held in reserve by the bank until Anchor repayment on Day 90)
• Bank-Advanced Principal (90%): ₹45,00,000 (which constitutes the active loan principal on Day 1)
• Usance Tenure: 90 Days
• Financing Interest Rate: 8.0% p.a. simple interest (calculated on a 365-day reducing basis)
• Lender Processing Fee: 0.1% on the advanced principal (subject to GST at 18% in India)
• Anchor Early Payment Cash Discount: Apex Motors offers a 1.5% cash discount on the invoice value if paid on Day 1.

Scenario A: Standard Interest-Bearing Route with Early Cash Discount

Under Scenario A, Apex Motors applies the 1.5% cash discount on Day 1, reducing the billing invoice value from ₹50,00,000 to ₹49,25,000 (Discount = ₹50,00,000 × 1.5% = ₹75,000). The bank finances 90% of the discounted invoice, which equals ₹44,32,500. The supplier bears the interest cost of the advanced principal over the 90-day tenure.

Step-by-Step Mathematical Calculations:
1. Advanced Loan Principal = ₹49,25,000 × 90% = ₹44,32,500
2. Interest Deduction = Principal × Rate × (Tenure / 365) = ₹44,32,500 × 8.0% × (90 / 365) = ₹44,32,500 × 0.08 × (90 / 365) = ₹87,436
3. Lender Processing Fee = Advanced Principal × 0.1% = ₹44,32,500 × 0.001 = ₹4,432.50
4. GST on Processing Fee = ₹4,432.50 × 18% = ₹797.85
5. Total Day 1 Upfront Deductions = Interest + Fee + GST = ₹87,436 + ₹4,432.50 + ₹797.85 = ₹92,666
6. Net Upfront Cash Disbursed to Supplier (Day 1) = Advanced Principal - Deductions = ₹44,32,500 - ₹92,666 = ₹43,39,834

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7. Final Day 90 Maturity Settlement: Apex Motors pays the full discounted invoice value of ₹49,25,000 to the bank's escrow. The bank sweeps ₹44,32,500 to recover its advanced principal and releases the remaining ₹4,92,500 margin reserve back to Vibrant Manufacturing.

Scenario B: Anchor-Subvented 30-Day Interest Holiday

Under Scenario B, Apex Motors does not offer an early cash discount. Instead, they subvent (absorb) 100% of the interest costs for the first 30 days of the usance tenure. The bank advances 90% of the full ₹50,00,000 invoice, which equals ₹45,00,000. Vibrant Manufacturing is only charged interest for the remaining 60 days of the usance tenure.

Step-by-Step Mathematical Calculations:
1. Advanced Loan Principal = ₹50,00,000 × 90% = ₹45,00,000
2. Supplier-Chargeable Interest Tenure = 90 Days - 30 Days (Interest Holiday) = 60 Days
3. Interest Deduction = Principal × Rate × (60 / 365) = ₹45,00,000 × 8.0% × (60 / 365) = ₹45,00,000 × 0.08 × 0.164384 = ₹59,178
4. Lender Processing Fee = Advanced Principal × 0.1% = ₹45,00,000 × 0.001 = ₹4,500
5. GST on Processing Fee = ₹4,500 × 18% = ₹810
6. Total Day 1 Upfront Deductions = Interest + Fee + GST = ₹59,178 + ₹4,500 + ₹810 = ₹64,488
7. Net Upfront Cash Disbursed to Supplier (Day 1) = Advanced Principal - Deductions = ₹45,00,000 - ₹64,488 = ₹44,35,512
8. Final Day 90 Maturity Settlement: Apex Motors pays the full invoice value of ₹50,00,000 to the bank. The bank sweeps ₹45,00,000 to recover the advanced principal and releases the remaining ₹5,00,000 margin reserve back to Vibrant Manufacturing.

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Chapter 10: Practice Examination & Test Questions.

This chapter contains a rigorous, comprehensive practice examination consisting of multiple-choice, analytical, and scenario-based test questions. It is designed to evaluate a finance rookie's absolute mastery of Anchor-Based Vendor Funding structures, credit underwriting standards, legal documentation, tax treatments, and digital lending compliance regulations. Detailed answers and rationales are provided for each question.

Question 1 (Multiple Choice):
Under the Anchor-Based Vendor Funding model, how is the supplier's credit evaluation primarily structured?

A) The supplier is evaluated strictly on its own standalone balance sheet, requiring extensive real estate collateral.
B) The supplier's credit risk is evaluated based on the credit rating, financial strength, and payment history of the Corporate Anchor.
C) Lenders ignore all credit metrics and charge a fixed 24% p.a. default interest rate to mitigate risk.
D) The Central Government provides a 100% credit guarantee on every transaction, removing lender-side due diligence.

★ Rationale & Analysis:
Correct Option: B. The foundational principle of Anchor-Based Vendor Funding is credit leverage. Since individual MSME suppliers often have weak balance sheets or are New-to-Credit (NTC), lenders shift the credit evaluation to the investment-grade Corporate Anchor (AAA/AA). This credit arbitrage allows the supplier to obtain low-cost, collateral-free trade credit anchored to the corporate buyer's prime rating.

Question 2 (Multiple Choice):
According to the Reserve Bank of India (RBI) Digital Lending Directions, what is the maximum permissible cap on Default Loss Guarantee (DLG) arrangements between a Regulated Entity (RE) and a Lending Service Provider (LSP)?

A) 1% of the outstanding loan portfolio.
B) 5% of the outstanding loan portfolio.
C) 10% of the outstanding loan portfolio.
D) There is no cap, provided the LSP is backed by a corporate parent with a net worth over ₹50 Crore.

★ Rationale & Analysis:
Correct Option: B. Under the RBI Digital Lending Directions, any Default Loss Guarantee (DLG) or synthetic lending risk-sharing arrangement between a Regulated Entity (Bank/NBFC) and an LSP (fintech

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platform) is strictly capped at a maximum of 5% of the outstanding DLG portfolio. This cap ensures financial system stability and prevents LSPs from operating as shadow lenders.

Question 3 (Multiple Choice):
Under the Factoring Regulation Act, 2011, what is the mandatory timeline within which a financier must register the assignment of receivables on the CERSAI portal?

A) Within 24 hours of executing the digital transaction.
B) Within a strict statutory window of 10 days from the date of assignment.
C) Within 30 days from the date of final invoice maturity.
D) CERSAI registration is entirely optional and is only required for collateralized real estate loans.

★ Rationale & Analysis:
Correct Option: B. Section 19 of the Factoring Regulation Act, 2011 mandates that every transaction-backed assignment of receivables must be registered on the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) portal within a strict statutory window of 10 days. This registration is a vital risk-mitigation tool that eliminates duplicate invoice financing fraud.

Question 4 (Multiple Choice):
Under Section 130 of the Transfer of Property Act, 1882, how can a financier legally recover an assigned trade invoice directly from the corporate Anchor?

A) The financier has no direct recourse and must sue the supplier first.
B) The assignment of actionable claims legally transfers the absolute right to collect and recover the trade debt directly from the Anchor in the financier's own name.
C) The Anchor is only liable to pay if the supplier's personal assets are fully liquidated.
D) By executing a stop-supply covenant that automatically halts the Anchor's factory operations.

★ Rationale & Analysis:
Correct Option: B. Under Section 130 of the Transfer of Property Act, 1882, the assignment of trade receivables operates as an assignment of an actionable claim. This legally transfers the absolute ownership of the debt to the financier, granting them the direct right to demand and recover payment from the corporate Anchor, independent of any third-party arbitration.

Question 5 (Multiple Choice):
Which of the following data privacy rules is strictly enforced by the RBI regarding Digital Lending Apps (DLAs) in India?

A) DLAs are permitted to scan the customer's phone contact list, access file directories, and read call logs for credit scoring.
B) DLAs are strictly prohibited from accessing sensitive phone resources like contact lists, call logs, and media directories.

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C) Lenders can store all personal and transaction-backed data on foreign cloud servers, provided they are encrypted.
D) There are no restrictions on phone access, provided the customer clicks 'Allow' on an un-detailed permissions pop-up.

★ Rationale & Analysis:
Correct Option: B. Under the RBI Digital Lending Directions, Digital Lending Apps (DLAs) and partner Lending Service Providers (LSPs) are explicitly prohibited from accessing the customer's contact list, call logs, file/media directories, or other sensitive mobile phone resources. One-time consent-driven access is restricted solely to the camera, microphone, and location, and only for onboarding and KYC purposes.

Question 6 (Multiple Choice):
Under the RBI's Fair Practice Code and debt collection standards, during what hours are recovery agents legally permitted to contact or visit a borrower?

A) 24 hours a day, as long as the borrower's invoice is actively overdue.
B) Between 8:00 AM and 7:00 PM on any day.
C) Between 9:00 AM and 5:00 PM on working days only.
D) Lenders can contact borrowers at any time, provided they are not physically located on the borrower's premises.

★ Rationale & Analysis:
Correct Option: B. To protect consumers from harassment, aggressive tactics, and privacy breaches, the RBI Fair Practice Code strictly restricts recovery agents from contacting or visiting borrowers outside the designated hours of 8:00 AM to 7:00 PM.

Question 7 (Multiple Choice):
According to the 2018 Ministry of MSME regulatory mandate, which corporate entities in India are legally required to onboard and register themselves on an RBI-approved TReDS platform?

A) All proprietorships and partnership firms with a net worth exceeding ₹1 Crore.
B) All Central Public Sector Enterprises (CPSEs) and corporate entities with an annual turnover exceeding ₹500 Crores.
C) Only foreign multinational companies operating in SEZ (Special Economic Zone) retail markets.
D) Every bank and NBFC operating in India, regardless of their credit portfolio size.

★ Rationale & Analysis:
Correct Option: B. The 2018 landmark Ministry of MSME mandate legally obligates all Central Public Sector Enterprises (CPSEs) and all corporate entities registered under the Companies Act with an annual turnover exceeding ₹500 Crores to onboard and register themselves on at least one RBI-approved TReDS platform (such as RXIL, M1xchange, or Invoicemart) to ensure MSMEs can discount their invoices.

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Question 8 (Multiple Choice):
How is GST legally assessed on trade finance and invoice discounting transactions in India?

A) GST is levied at 18% on the entire face value of the discounted tax invoice.
B) GST is levied at 18% strictly on the interest charges and processing fees assessed by the financier.
C) Trade finance transactions are completely exempt from GST under Section 194A of the Income Tax Act.
D) GST is charged at a flat rate of 5% on the supplier's cash margin held in reserve.

★ Rationale & Analysis:
Correct Option: B. Under GST laws, the discounting of trade invoices is classified as a financial service. Therefore, GST (at the standard rate of 18%) is levied strictly on the financier's service components, which are the interest charges and the upfront processing fees. The underlying principal invoice value itself is not subject to additional GST as a credit transaction.

Question 9 (Analytical Case Question):
A supplier discounts a ₹20,00,000 usance invoice raised on a AAA corporate Anchor over a 90-day tenure. The bank finances 90% of the invoice value at a simple interest rate of 8.0% p.a. The lender charges a 0.1% processing fee (plus 18% GST). Calculate the supplier's net upfront cash payout on Day 1.

Answer & Rationale:
To solve this, we execute the following steps:
1. Advanced Principal = 90% of ₹20,00,000 = ₹18,00,000.
2. Interest Deduction = Principal × Rate × (Tenure / 365) = ₹18,00,000 × 8.0% × (90 / 365) = ₹18,00,000 × 0.08 × 0.246575 = ₹35,507.
3. Upfront Processing Fee = Advanced Principal × 0.1% = ₹18,00,000 × 0.001 = ₹1,800.
4. GST on Processing Fee = ₹1,800 × 18% = ₹324.
5. Total Day 1 Upfront Deductions = Interest + Fee + GST = ₹35,507 + ₹1,800 + ₹324 = ₹37,631.
6. Net Upfront Cash Disbursed to Supplier (Day 1) = Advanced Principal - Deductions = ₹18,00,000 - ₹37,631 = ₹17,62,369.
On maturity (Day 90), the Anchor pays ₹20,00,000 to the bank, which sweeps ₹18,00,000 to recover the advanced principal and releases the ₹2,00,000 margin reserve back to the supplier, completing the transaction loop.

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Question 10 (Multiple Choice):

Under what circumstances must a corporate Anchor reclassify a supplier finance arrangement from 'Trade Payables' to 'Bank Borrowings' on its balance sheet under Ind AS 109?

A) If the supplier discounts the invoice on a third-party digital platform without the Anchor's explicit consent.
B) If the transaction changes the commercial substance of the payables, such as extending payment timelines past standard terms or charging interest directly to the Anchor.
C) If the outstanding invoice value exceeds ₹10 Crore, regardless of the commercial terms or repayment structures.
D) If the participating financier is a Non-Banking Financial Company (NBFC) rather than a scheduled commercial bank.

★ Rationale & Analysis:
Correct Option: B. Under Ind AS 109 and general corporate reporting guidelines, if a supplier financing or reverse factoring program substantially alters the commercial substance of the corporate Anchor's trade payables—by introducing significant extensions to standard payment terms, offering additional payment guarantees, or forcing the Anchor to pay interest—the trade payables lose their trade substance and must be reclassified as bank borrowings on the balance sheet.

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